SL. No.119

NATIONAL COMPANY LAW TRIBUNAL
HYDERABAD BENCH
COURT HALL NO: II

Video Conference

CORAM: HON'BLE BHASKARA PANTULA MOHAN,–MEMBER (J)
CORAM: HON'BLE DR. BINOD KUMAR SINHA -MEMBER (T)

ATTENDANCE-CUM-ORDER SHEET OF THE HEARING OF NATIONAL COMPANY LAW TRIBUNAL, HYDERABAD BENCH, HELD ON 31.05.2022 AT 10:30 AM THROUGH VIDEO CONFERENCE

TRANSFER PETITION NO.	
COMPANY PETITION/APPLICATION NO.	CP (AA) Merger & Amalgamation/39/2021
NAME OF THE COMPANY	Stopak India Pvt Ltd (Transferor Co.) & Signode India Ltd (Transferee Co.)
NAME OF THE PETITIONER(S)	
NAME OF THE RESPONDENT(S)	
UNDER SECTION	230

ORDER

Order Pronounced vide separate sheets. Scheme stands sanctioned.

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MEMBER (T)

SD/-

MEMBER (J)

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IN THE NATIONAL COMPANY LAW TRIBUNAL

HYDERABAD BENCH, HYDERABAD

CP(AA) Merger & Amalgamation/39/2021
Connected with CA(CAA)No.22/230/HDB/2021

Petition under Sections 230 to 232of the Companies Act, 2013

In the matter of

Stopak India Private Limited,
Having its registered Office situated at
3rd Floor, Jyothi Majestic,
H.No.8-2-120/84, Road No.2,
Banjara Hills, Hyderabad – 500034.

...Applicant Company No.1/ Transferor Company

Signode India Limited
having its registered Office situated at
3rd Floor, Jyothi Majestic,
H.No.8-2-120/84, Road No.2,
Banjara Hills, Hyderabad – 500034.

...Applicant Company No.2/ Transferee Company

Date of Order: 31.05.2022

Coram: Shri Bhaskara Pantula Mohan, Member Judicial
Dr. Binod Kumar Sinha, Member Technical

Parties/Counsel(s) Presents:

For the Applicant : Mr. P. Sriram, Counsel

For the RD : Mrs. K. Geetha Mahalakshmi, Joint Director

Per: Bench

ORDER

1. The present joint Company Petition is filed under Section 230 to 232 of the Companies Act, 2013 read with Rule 3 of the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 praying for the sanction of Scheme of Amalgamation between Transferor Company and Transferee Company and their respective shareholders, creditors and employees.

2. The Registered Offices of the Petitioner Companies are situated in the State of Telangana and therefore, they are within the jurisdiction of this Tribunal. Copies of Memorandum of Association and Articles of Association of Transferor Company and Transferee Company are annexed to the petition as Annexure 2 & 7.

3. The averments made in the joint petition are mentioned below:

   a. **Transferor Company:** The Transferor Company M/s. Stopak India Private Limited (CIN No.U21024KA2008PTC046375) is a Company incorporated under the provisions of the Companies Act, 1956.

   b. The main objects of the Company are to carry on the business of manufacture, trade, export, import of Packaging Products for Bulk Packaging industry and other related products, services and activities in joint venture with Stopak (pty) Ltd.,

   c. The Authorised Share Capital of the Transferor Company is Rs.50,00,000/- (Rupees Fifty Lakhs only) divided into 50,00,000 (Fifty Lakhs) Equity Shares of Rs.1/- (Rupees One Only) each. The Issued, Subscribed and Paid-Up Capital is Rs.5,58,012/- (Rupees Five Lakhs Fifty Eight Thousand Twelve only) divided into 5,58,012 Five Lakhs Fifty Eight Thousand Twelve) Equity Shares of Rs.1/- (Rupees One only) each.

   Copy of the Memorandum and Articles of Association of the Transferor Company is annexed hereto and marked as Annexure 2.

d. **Transferee Company:** The Transferee Company i.e. M/s Signode India Limited (CIN No.U74950AP2003PLC091521) is a Company incorporated under the provisions of the Companies Act, 1956.

e. The main objects of the Company are to carry on business traders, manufacturers, producers, assemblers, dealers, importers, exporters, stockists, distributors, agents, fabricators, service providers and consultants of packaging materials, tools, equipment, accessories, supplies and systems.

f. The Authorised Share Capital of the Transferee Company is Rs.150,00,00,000/- (Rupees One Hundred Fifty Crores only) divided into 15,00,00,000 Rupees Fifteen Crores) Equity Shares of Rs.10/- (Rupees Ten Only) each. The Issued, Subscribed and Paid-Up Capital is Rs.74,15,29,400/- (Rupees Seventy Four Crores Fifteen Lakhs Twenty Nine Thousand Four Hundred only) divided into 7,41,52,940 (Seven Crores Forty One Lakhs Fifty Two Thousand Nine Hundred Forty) Equity Shares of Rs.10/- (Rupees Ten only) each.

Copy of the Memorandum and Articles of Association of the Transferor Company is annexed hereto and marked as Annexure 7.

4. It has been submitted that the Petitioner Companies had jointly filed an application CA(CAA)No.22/230/HDB/2021 wherein this Tribunal vide order dated 08.04.2021 and 09.07.2021 dispensed with the conducting of meetings of shareholders and secured creditors of both Transferor and Transferee Company and unsecured trade creditors of Transferor Company. Meeting of unsecured Trade creditors of the Transferee Company was directed to convened by the Tribunal. Copy of Order of Tribunal in CA(CAA)No.22/230/HDB/2021 dated 08.04.2021 and 09.07.2021 is annexed to the petition at page nos.470 – 477 and 486 respectively.

5. That Ms. Siri Atluri, Advocate was appointed as Chairperson and Ms. Anantha Lakshmi, Advocate was appointed as Scrutinizer by the same order, convened the meetings of the Unsecured Trade Creditors of the Transferee Company on 30.08.2021 and filed her report.

6. As per the Chairperson's report, 44 Unsecured Trade Creditors of thee Transferee Company representing 100% in value of the Unsecured Trade Creditors participated in e-voting and 100% voted in favour of the resolution. The Chairperson's report is annexed to the Petition at page nos. 512 to 525 of the petition.

7. The Petitioner Companies then filed the present Petition before this Tribunal seeking sanction of the Scheme with appointed date as 01.04.2020. This Tribunal vide order dated 29.09.2021 ordered notices to Registrar of Companies and other statutory authorities and directed to effect newspaper publication. Pursuant to the Order, notices dated 09.10.2021 were issued to the Registrar of Companies, Hyderabad, the Regional Director, South Eastern Region, Hyderabad; Official Liquidator for State of Telangana; Income Tax Officer, Ward-17(1), Hyderabad; Deputy Commissioner of Income Tax, Circle-1(1), Hyderabad, Deputy Commissioner of Income Tax, Circle-5(1), Hyderabad and Corporate Finance Department, Securities Exchange Board of India. It has been submitted that the Petitioner Companies published notices of hearing of Petition in English Newspaper i.e. Business Standard and Telugu Newspaper i.e. Nava Telangana on 08.10.2021. The proof of publication and proof of service of notice of hearing was filed by an Affidavit dated 20.10.2021.

8. It is submitted that the proposed Scheme will enable Transferor Company and Transferee Company to have synergy of operations which aims to cut down the high overhead cost, reducing the cost of capital and optimum utilization of resources after the amalgamation within the wide range of markets geographically by leveraging its strength in import, export of packaging materials / products.

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9. The Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standards prescribed under Section 133, Copy of the Auditor's Certificate under Section 133 of the Companies Act, 2013 are enclosed as per Annexure-25.

10. The Regional Director vide his report dated 08.12.2021, has not objected to the proposed Scheme but has made certain observations. The Petitioner Companies have filed affidavit dated 09.12.2021, in response to the observations made by the Regional director, South East Region, Ministry of Corporate Affairs, Hyderabad whereunder the Petitioner Companies gave undertaking to appropriately comply with the observations made by R.D. The details are given below.

Observation of Regional Director	Reply of the Petitioner Companies by way of affidavit dated 09.12.2021
PARA 3 (c) Hon'ble Tribunal may be pleased to direct the Petitioner Company(s) to preserve its books of accounts, papers and records and shall not be disposed off without the prior permission of the Central Government in terms of provisions of Section 239 of the Companies Act, 2013.	That the books of accounts, papers and records of the Transferor Company shall not be disposed off without the prior permission of the Central Government in terms of provisions of Section 239 of the Companies Act, 2013.
PARA 3 (d) Hon'ble Tribunal may be pleased to direct the Petitioner Company(s) to ensure statutory compliance of all applicable laws and also on sanctioning of the present scheme the	The Petitioner Companies shall ensure statutory compliance of all the applicable laws and on sanctioning of the Scheme, the Transferee Company shall not be

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applicant company shall not be absolved for any of the statutory liability in any manner.	absolved for any of the statutory liabilities of Transferee Company or the Transferor Company.
PARA 3 (e) Hon'ble Tribunal may be pleased to direct the Petitioner Company(s), involved in the scheme to comply with Rule 17(2) of the Companies (Compromise, Arrangement and Amalgamation), Rules 2013 with respect to filing of order for confirmation of scheme to be filed in Form No. INC-28 with the concerned office of Registrar of Companies by the Petitioner Company.	The Petitioner Companies shall comply with Rule 17(2) of the Companies (Compromise, Arrangement and Amalgamation), Rules 2013 with respect to filing of order for confirmation of scheme to be filed in Form No. INR-28 with the ROC.
PARA 4 The Directorate has received letter No.OL/Hyd/AR-II/Amal/Signode/2021/465 dated 24.11.2021 from Official Liquidator, Hyderabad, pointing out certain observations as per para 30 of the report. Hence, Hon'ble Tribunal may be pleased to direct to Petitioner Companies furnish their reply to the observations pointed out by the Official	The Petitioner Companies have already submitted to this Hon'ble NCLT their respective affidavits in response to the observations made by the Official Liquidator for the States of Telangana and Andhra Pradesh at Hyderabad ("OL") in the OL Report No.66 of 2021 dated 24.11.2021. The Petitioner

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Liquidator, Hyderabad, before the scheme is allowed.	Companies have made electronic filing of the affidavits on 06.12.2021 and physical filing of the affidavits on 07.12.2021 with this Hon'ble NCLT. The copy of the affidavits along with their acknowledgements for physical and electronic filings made by the Petitioner Companies with this Hon'ble NCLT are annexed and marked as Annexure 3A and 3B.
PARA 5 With reference to this Directorate's letter dated 01.11.2021 issued to Income Tax Office, Hyderabad, the said letter has been received back undelivered with the postal remarks "refused, hence returned back to sender". Hon'ble Tribunal may be pleased to direct the Petitioner Companies, to furnish an undertaking that, if any demand arises from the Income Tax Department, Petitioner Companies are ready to pay the said debts to Income Tax Department as per Rules."	Pursuant to the receipt of the Order dated 06.10.2021 by this Hon'ble NCLT, the learned counsel of the Petitioner Companies vide letter dated 09.10.2021 had issued notice for seeking no objection to Joint Commissioner of Income Tax (OSD), Bangalore and Deputy Commissioner of Income Tax, Telangana. The copy of the notice served and its acknowledgment thereof have been provided under Annexure 4A and 4B. Further, this undertaking to this Hon'ble NCLT to the effect that if any demand for the income tax dues of the Transferor Company arises pursuant to the sanction of

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	the Scheme, the Transferee company will pay off such income tax dues of the Transferor Company in accordance with the provisions of the Income Tax Act, 1961 and rules framed thereunder.
PARA 6 Petitioner Companies in their respective reply dated 16.11.2021 have stated that valuation report is not required as the scheme is between a holding company that is Signode India Limited and its wholly owned subsidiary that is Stopak India Private Limited, wherein the wholly owned subsidiary is getting merged into its holding company.	Since the Transferor Company is the wholly owned subsidiary of Transferee Company, upon the Scheme being sanctioned by this Hon'ble NCLT, all the equity shares held by the Transferee Company along with its nominee in the Transferor Company shall be cancelled and extinguished. Accordingly, there will be no issue and allotment of equity shares by the Transferee Company to the shareholders of the Transferor Company upon the Scheme becoming effective. Hence, the requirement of any valuation report does not arise.
PARA 7 Transferee Company in its reply has stated that six foreign shareholders are holding 99% of the total equity shares. Hon'ble Tribunal may be pleased to direct the Petitioner	The Transferee Company presently has 7 (seven) non-resident shareholders with Signode Netherlands BV holding 99.9994%

Transferee Company to state whether they have complied with the provisions of RBI/FEMA, if so to furnish the proof of the same, with supporting documents, duly certified."	of the total equity shares of the Transferee Company. The remaining 6 (six) non-resident shareholders hold 0.0001% each of the total equity shares of the Transferee Company. Further, the Transferee Company has complied with the applicable provisions of Foreign Exchange Management Act, 1999 (FEMA) and applicable guidelines issued by Reserve Bank of India (RBI). The necessary documentary proofs in this regard are annexed and marked as Annexure 5.
PARA 8 As per para 21(a) of the Order of Hon'ble Tribunal dated 08.04.2021 had ordered for meeting of Unsecured Trade Creditors on 04.06.2021. whereas, the meeting was held on 30.08.2021 and Chairperson has furnished his report dated 02.09.2021. However, Chairperson and Scrutinizer Reports were also filed before the Hon'ble Tribunal, as stated by the Petitioner Companies. Hence, Hon'ble Tribunal may be pleased to take necessary action s deem fit and proper"	This Hon'ble NCLT vide its Order dated 08.04.2021, had directed to convene and conduct the meeting of unsecured trade creditors of the Transferee Company on 04.06.2021. However, the copy of the Order dated 08.04.2021 was received by the authorized representatives of the Transferee Company on 25.05.2021. Accordingly, there was paucity of time for holding the meeting of the unsecured trade creditors of the Transferee Company on 04.06.2021. Further date was

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	given by Tribunal vide its order dated 09.07.201 and the meeting was conducted on 30.08.2021.

Regional Director vide its additional affidavit dated 12.01.2022, filed on 13.01.2022, has stated that the reply affidavit filed by the Petitioner Companies have been examined and that the Tribunal may consider the same and pass orders as deemed fit and proper in the circumstances.

11. OFFICIAL LIQUIDATOR'S REPORT:

1. The Official Liquidator has filed his first report, OLR No.66/2021 dated 24.11.2021 stating that the information/details which were called for by the official liquidator is yet to be received from the Transferor Company.
2. The observations pointed out and the comments offered by the Petitioner company on 06.12.2021 on the report of Official Liquidator vide affidavit dated 24.11.2021 are mentioned against each.

Sl. No.	Observations of Official Liquidator	Reply by Petitioner Companies
1	Clause 7.1 read with Clause 1.3€ of the Scheme seeks to protect all staff, workmen and employees of Transferor Company, only if they are in service on the date of approval of Scheme by NCLT. Hence, Hon 'ble Tribunal may be pleased to direct the Petitioner Companies to submit an	The Petitioner Companies have undertaken to the effect that there would be no retrenchment of any employee who was in service as on Appointed Date i.e. 01.04.2020.

	undertaking to the effect that there would be no retrenchment of any employee who were in service as on Appointed Date i.e. 01.04.2020 as well.	

3. The Official Liquidator filed his second report vide OLR No.70/2021 dated 09.12.2021 stating that the petitioner Companies have submitted the reply on the observations of the Official Liquidator vide affidavit dated 06.12.2021 separately by each Company. Hence there are no further observations in this matter, and this Tribunal may decide on merits.

12. DECLARATION:

i. No petition under Sections 397 or 398 of the Companies Act, 1956 or Section 241 to 244 of the Companies Act, 2013 has been filed against the Petitioner Companies and there has been no material change in the affairs of the Petitioner Companies, except for what was done in the normal course of business.

ii. There are no proceedings pending under Section 235 to 251 of the Companies Act, 1956 or under Section 210 to 227 of the Companies Act, 2013 against the Petitioner Companies.

13. OBSERVATION:

We have heard the learned Counsel appearing for the Petitioner Companies and perused the material papers on record. As regards the observations pointed out by the Regional Director and compliance filed by the petitioner company, it appears that necessary undertakings have been submitted. The Official liquidator had also raised certain observation for which the Petitioner Companies filed its reply by way of an Affidavit. After hearing the Counsel for the Petitioner Companies and considering the material on record, we are

of the view the scheme is not opposed to public interest and the proposed Scheme is in the interest of the Transferor company, the Transferee Company and their respective shareholders, employees, creditors and all persons concerned. Hence the scheme can be approved. Since the Petitioner Companies have filed the amended Scheme with appointed date as 01.04.2020 the same is taken on record.

14. All the statutory compliances have been made under Section 230 to 232 of the Companies Act, 2013. Hence ordered.

ORDER

15. After hearing the Counsel for the Petitioner Companies and after considering the material on record, this Tribunal passed the following order:

A. The Scheme of Amalgamation between the Transferor and Transferee Company as amended with appointed date as 01.04.2022 is hereby sanctioned.

B. While Approving the Scheme we made it clear that this order should not be construed as an order in anyway granting exemption from payment of Stamp Duty, taxes or any other charges, if any, payable in accordance with any law or in respect of any permission/compliance with any other requirement which may be specially required under any law.

C. The whole of the assets, property, rights and Liabilities of the Transferor Company shall be transferred without the requirement of any further act or deed to the Petitioner/Transferee Company.

D. Direct the Petitioner companies to comply with the observations pointed out by the Regional Director and Official Liquidator, if any.

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E. Directed the Petitioner Companies to preserve its books of accounts and papers and records and shall not be disposed of without the prior permission of the Central Government in terms of provisions of Section 239 of the Companies Act, 2013.

F. Directed the Petitioner Companies to ensure statutory compliance of all applicable laws and also on sanctioning of the present Scheme the Petitioner Companies shall not be absolved for any of its statutory liability in any manner.

G. Directed the Petitioner Companies involved in the scheme to comply with Rule 17 (2) of the Companies (Compromise, Arrangement and Amalgamation) Rules, 2013. The Petitioner Companies within 30 days after the date of receipt of certified copy of the order, shall cause certified copy to be delivered in Form INC-28 to the Registrar of Companies concerned for registration and on such certified copy being delivered, Registrar of Companies concerned shall take all necessary consequential action in respect of the Petitioner Companies.

H. All the legal proceedings pending by or against the Transferor Company shall be continued by or against the Transferee Company.

I. The tax implications, if any, arising out of the scheme is subject to final decision of Concerned Tax Authorities and the decision of the Concerned Tax Authorities shall be binding on the Transferee Company.

J. The Petitioner Companies are directed to strictly comply with the Accounting Treatment Standards prescribed under Section 133 of the Companies Act, 2013.

K. The sanction of the Scheme by this Tribunal shall not forbid the revenue authority from taking appropriate recourse for recovering the existing and previous tax liabilities of the Transferor and Transferee Companies.

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L. Directed the Transferee Company to comply with the provisions of Section 2(41) of the Companies Act, 2013.

M. The Transferor Company shall be dissolved without going through the process of winding up.

N. The Petitioner Companies shall until the completion of the Scheme of Amalgamation, file a statement in such form and within such time as prescribed with the Registrar every year duly certified by a Chartered accountant or a Cost Accountant or a Company Secretary to the effect that the Scheme of Amalgamation is being complied with in accordance with the orders of the Tribunal as required under Section 232(7) of the Companies Act, 2013.

O. Any person shall be at the liberty to apply to the Tribunal in the above matter for any direction that may be necessary.

P. With the above directions, the CP(AA) Merger & Amalgamation/39/2021 is disposed of.

Dr. Binod Kumar Sinna
Member Technical

Bhaskara Pantula Mohan
Member Judicial

Santi/SKRathi